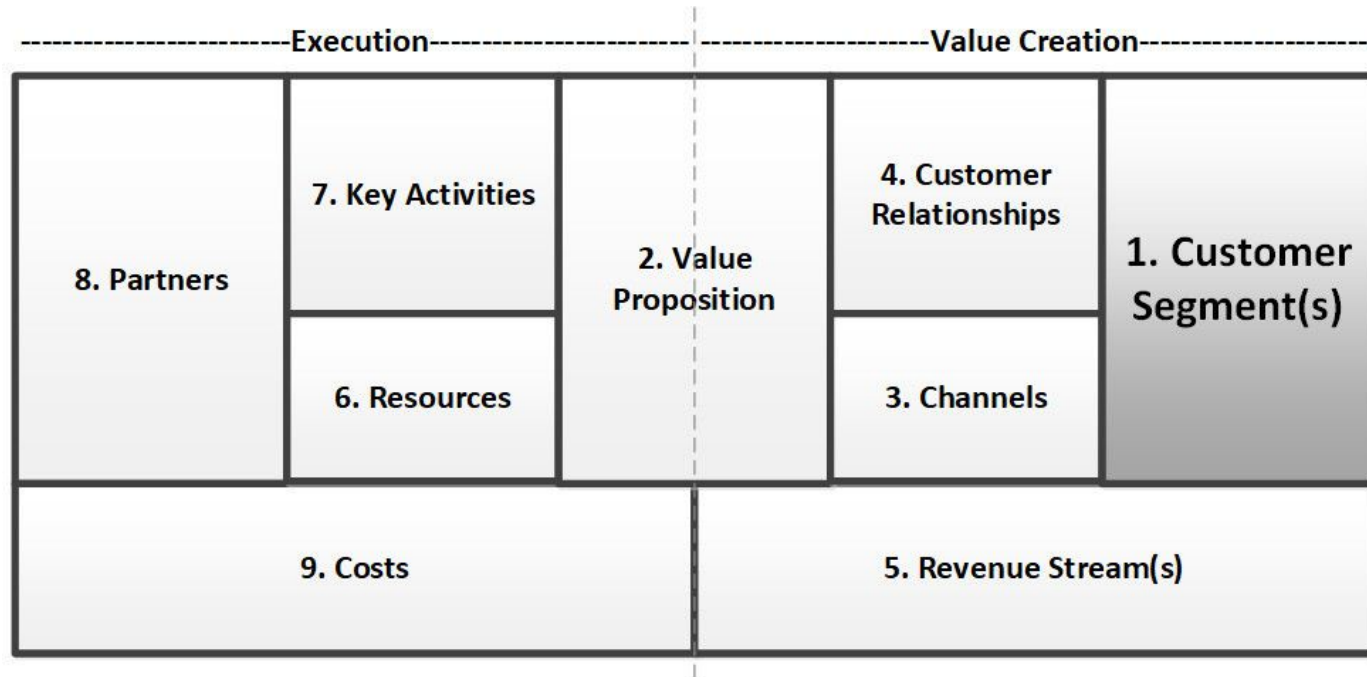


Customer Segmentation

Mahdi Nasseri





Customers Are Not Equal



Why Segmentation?

Customers have unique needs and preferences:

- Each customer possesses distinct preferences, behaviors, and expectations.
- Understanding these differences allows businesses to deliver personalized experiences.

A coffee shop noticing that some customers prefer specialty coffees while others prioritize convenience and quick service.

1. Price
2. Functionality and convenience
3. Reliability and Sustainability
4. Risk reduction
5. Empathy
6. Experience
7. Design
8. Efficiency
9. Performance
10. Transparency



11. Risk
12. Terms
13. Integrations and Compatibility
14. Information
15. Control
16. Variety of Options
17. Accessibility

Why Segmentation?

Tailoring strategies to different customer segments:

- Segmentation helps identify and target specific customer groups.
- Customizing marketing messages, products, and services based on segmentation leads to higher customer satisfaction.

Example: An online clothing retailer tailoring their marketing campaigns for different segments like fashion-forward millennials and price-conscious bargain seekers.

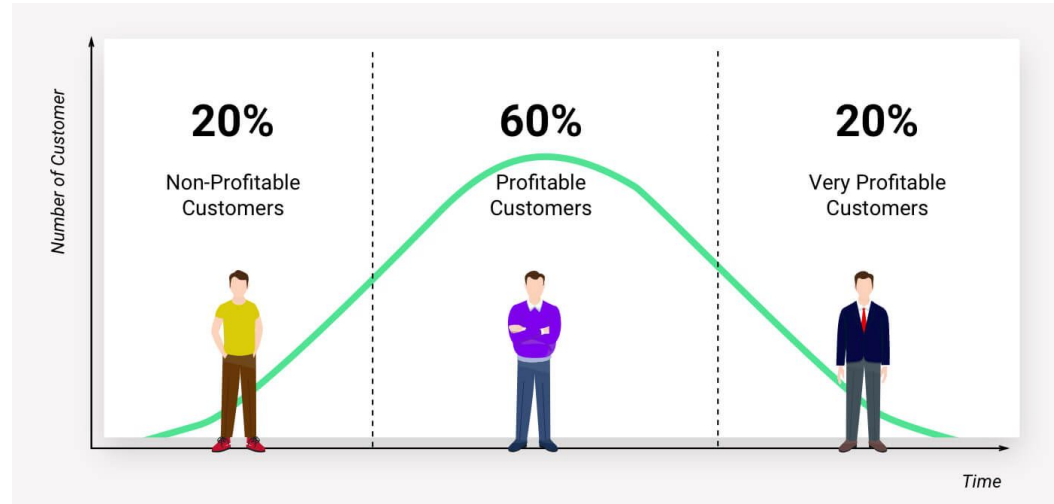


Why Segmentation?

Importance of customer lifetime value:

- Recognizing that customers have varying levels of long-term value to the business.
- Focusing on building relationships and loyalty with high-value customers generates greater returns.

Example: An insurance company offering premium services and personalized support to high-value policyholders, ensuring customer retention and increased lifetime value.



CUSTOMER SEGMENTATION



GEOGRAPHIC



DEMOGRAPHIC



PSYCHOGRAPHICS



BEHAVIOURAL



PERSONA



PREDICTIVE

SIMPLE

Where

Who

Why

What

Who, What, Why, Where

Who and When

WHAT IS IT?

Geographic segmentation divides customers into groups based on their location.

Demographic segmentation divides customers into groups based on census data.

Psychographic segmentation divides customers into groups based on personal interests and motivations.

Behavioural segmentation divides customers into what do - online/offline.

Persona segmentation divides customers into groups based on a blended data, as well as customer goals.

Predictive segmentation uses historical behavioral patterns to predict and influence future customer behaviors.

EXAMPLES

Countries
Cities
Urban, Suburban, Rural
IP Addresses

Age
Income
Family/Single/Couple
Gender
Education

Interests
Personality
Lifestyle
Social Status
Activities, Interests, Opinions
Attitudes

Benefits Sought
Occasion
Usage Rate
Loyalty
Buyer Readiness
Actions taken e.g. online

Jobs to be done
Pain/Gains
Demographic data
Psychographic data
Behavioural data

Unsupervised Learning
Supervised Learning
Reinforcement Learning

WHY USE IT

Dynamic Pricing
Ease of use
Country/Language differences
Localized offers - stores

Easy to use
Good for store profiling
Ideal for life stages
Good to supplement with other data

Uncovers motivations and reasons for product and brand purchases

Ideal for identifying patterns and triggers during buying process.
Helps to tailor marketing to different stages.

Provides a rich profile of a customer segment.
Proves a foundation to test hypothesis and testing to optimize results.

Uncovers hidden buying clusters of customers.
Helps with customer discovery.

Geographic Segmentation

- Geographic segmentation segments customers based on geographical location, such as country, region, or climate.
- Helps in adapting products, promotions, and marketing strategies to meet the unique needs of different geographic regions.

Example: Segmenting customers based on climate conditions for a clothing retailer to tailor product offerings.



Demographic Segmentation

- Demographic segmentation divides customers based on age, gender, income, education, and occupation.
- Helps in tailoring products, pricing, and communication to meet specific demographic groups' preferences.

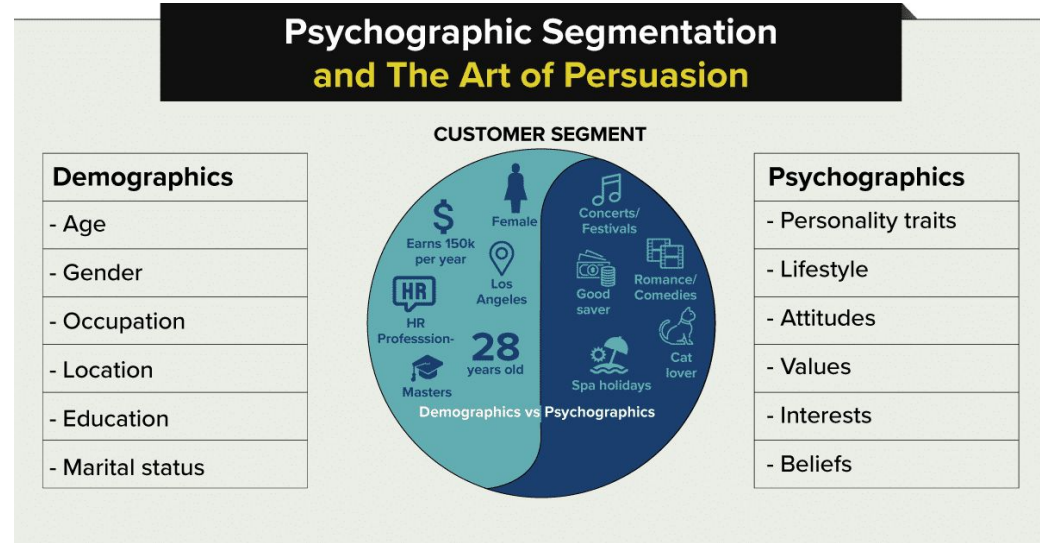
Example: Segmenting customers based on age and gender for a beauty brand to create targeted marketing campaigns.



Psychographic Segmentation

- Psychographic segmentation segments customers based on lifestyles, interests, values, attitudes, and personality traits.
- Enables businesses to understand motivations, interests, and buying behavior of different customer segments.

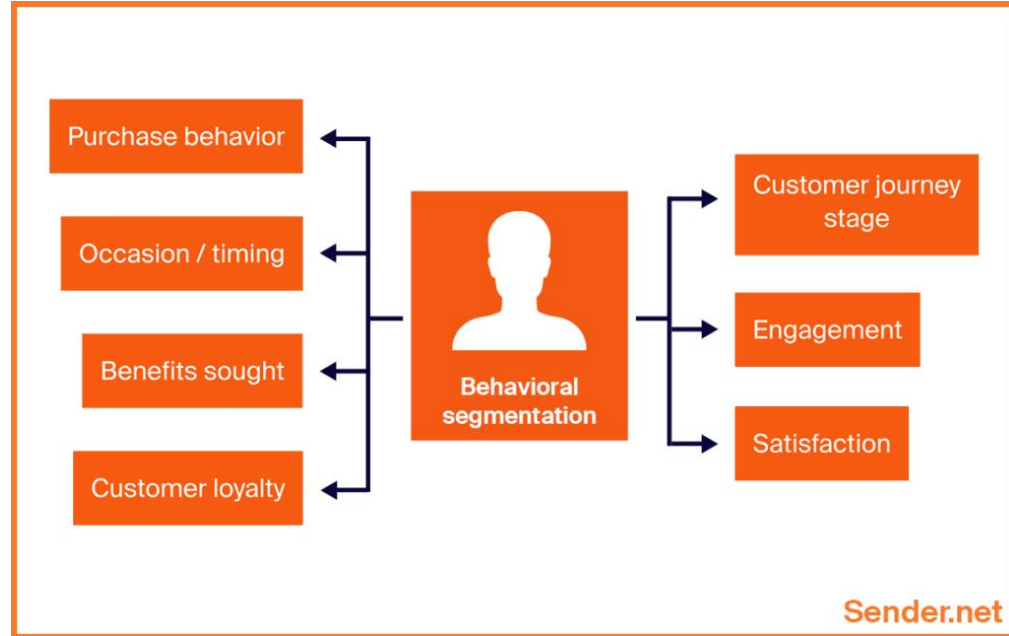
Example: Segmenting customers based on personality traits for a travel agency to customize travel experiences.



Behavioral Segmentation

- Behavioral segmentation segments customers based on past purchasing behavior, brand interactions, and engagement patterns.
- Allows businesses to personalize offerings, provide targeted recommendations, and improve customer experience.

Example: Segmenting customers based on purchase frequency and average order value for an e-commerce platform to create loyalty programs.



Persona Segmentation

- Categorizes customers based on distinct personas or fictional representations.
- Create detailed profiles capturing demographics, motivations, goals, and behaviors.
- Persona Attributes: Demographics, psychographics, goals, pain points, and behaviors.
- Targeted communication and marketing, Customer-centric design and improved user experience, Enhanced customer relationships.

Example: Software company segments customers into personas like "Tech Enthusiast," "Small Business Owner," and "Enterprise Professional."



Buyer Persona

- Detailed definition
- One specific fictional character
- Focused on psychographics
- Personal behaviors and habits in addition to product insights



Audience Segment

- Broad definition
- Large group of customers
- Focused on demographics
- Product behaviors

Predictive Segmentation

- Predictive Segmentation:
 - Utilizes advanced analytics and machine learning to predict customer behavior.
 - Segments customers based on their likelihood to exhibit specific behaviors or characteristics.
- How It Works:
 - Analyze historical data and identify variables correlated with desired outcomes.
 - Train predictive models using machine learning algorithms.
 - Assign customers to segments based on predicted probabilities.
- Benefits:
 - Enhanced Precision: More accurate predictions for targeted strategies.
 - Real-Time Insights: Dynamic adaptation of strategies in real-time.
 - Personalized Offerings: Tailored recommendations and targeted offers.
 - Improved Marketing ROI: Optimization of marketing spend and higher conversion rates.
- Example:
 - E-commerce company predicts churn likelihood and targets high-risk customers.
 - Personalized retention offers increase customer loyalty and reduce churn.



Customer Segmentation in Marketing

Customer segmentation in marketing enables targeted advertising, customized content, and promotions.



Customer Segmentation in Product Development

In product development, it helps identify features and tailor offerings to specific customer segments.

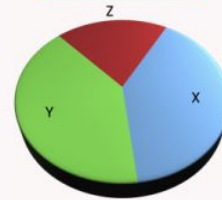


Customer Segmentation in Branding

In branding, it allows for crafting relevant brand messaging and creating personalized experiences for different customer segments.

Segmentation, targeting and positioning

Segmentation



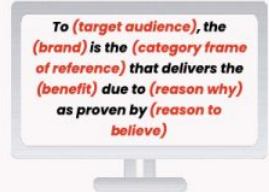
Divide the total market into manageable groups

Targeting

Attractiveness	
X	60%
Y	30%
Z	10%

Identify which groups offer the best chance of success

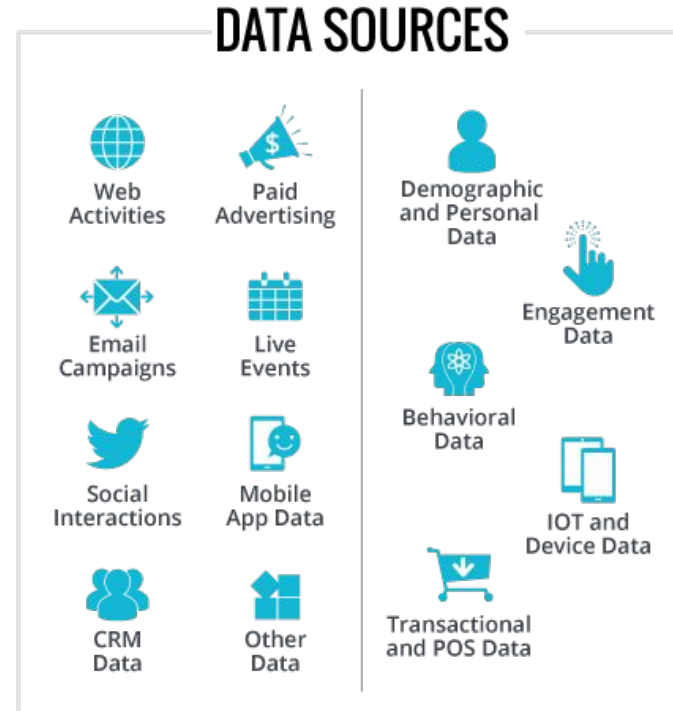
Positioning



Build your brand to best meet their needs (and be able to prove it)

Data Gathering for Customer Segmentation

- Transactional Data
- Customer Surveys and Feedback
- Social Media Data
- Website Analytics
- Customer Support Interactions
- Third-Party Data

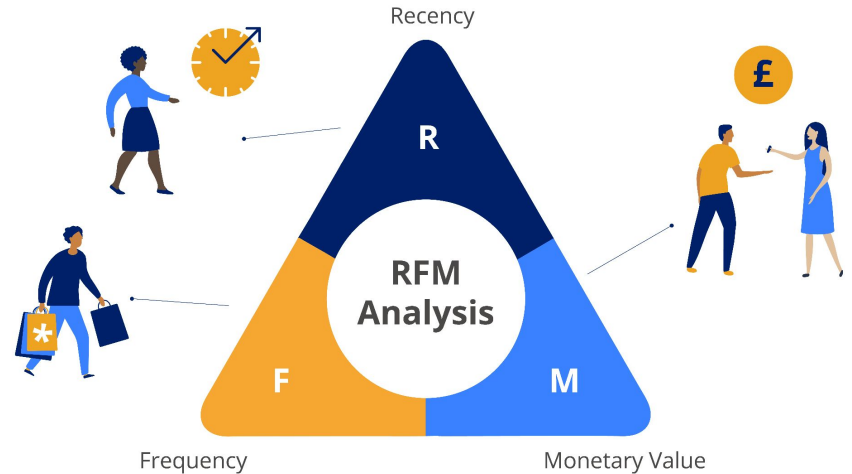


Case Studies

RFM

- RFM analysis analyzes customer value based on recency, frequency, and monetary value of purchases.
- It can be used for customer segmentation by categorizing customers into high, medium, and low-value segments.

Example: Using RFM analysis to segment customers for a retail business, identifying high-value customers for personalized marketing and loyalty programs.



RFM Analysis for Customer Segmentation and Better Conversion

The purpose of this slide is to provide information regarding RFM analysis that firm is implementing for customer segmentation. The RFM analysis comprise of Recency, Frequency and Monetary value.

Note – Scoring – 1-5;
1 – Lowest value, 5 – Highest Value



01

RFM analysis is an effective customer segmentation technique in order to prioritize customers by analyzing three key data points such as Recency, Frequency and Monetary Value

02

It considers as a scoring system to segment customers into different groups based on their value to firm

03

Recency determines time since customer's last purchase

04

Frequency determines time during which customer made purchases

05

Monetary value determines total amount customer spent within period

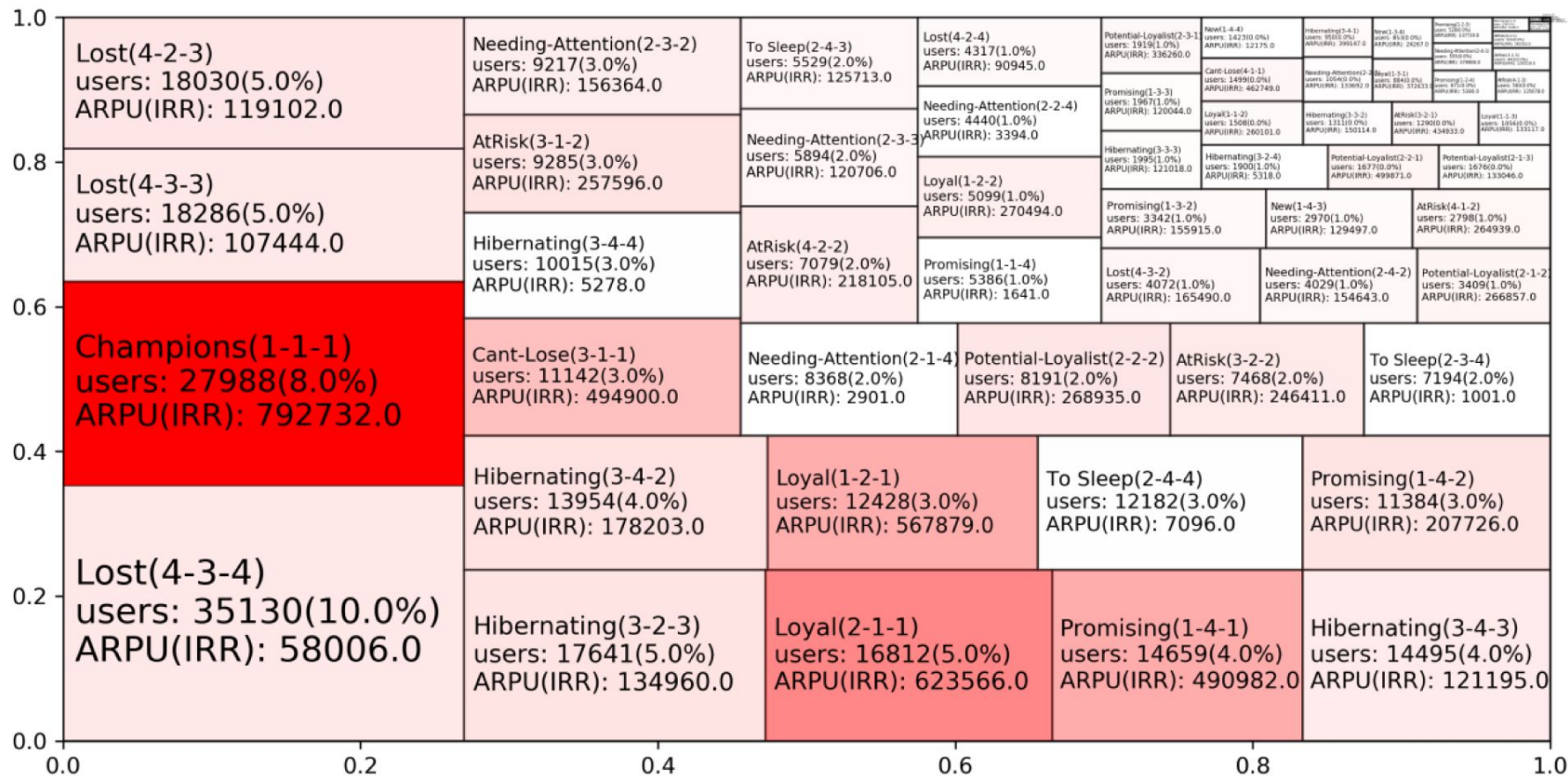
Customer ID

	Last Order Date	Recency (Days)	R- Score	Order Frequency (Number)	F – Score	Purchase Amount(\$) (Monetary)	M –Score	RFM Score
Customer 1	4/5/2022	82	5	3	2	5,200	3	523
Customer 2	6/7/2022	70	5	11	4	9,450	4	544
Customer 3	3/12/2022	112	4	8	3	12,000	5	435
Customer 4	4/9/2022	250	1	2	1	2,000	2	112

Segment	Description	Recency Score	Frequency Score	Monetary Score
Champions	Bought recently, buy often and spend the most.	4 - 5	4 - 5	4 - 5
Loyal Customers	Spend good money. Responsive to promotions.	2 - 4	3 - 4	4 - 5
Potential Loyalists	Recent customers, spent good amount, bought more than once	3 - 5	1 - 3	1 - 3
New Customers	Bought more recently but not often	4 - 5	< 2	< 2
Promising	Recent shoppers but haven't spent much	3 - 4	< 2	< 2
Need Attention	Above average recency, frequency & monetary values	3 - 4	3 - 4	3 - 4
About to Sleep	Below average recency, frequency & monetary values	2 - 3	< 3	< 3
At Risk	Spent big money, purchased often but long time ago	< 3	2 - 5	2 - 5
Can't Lose Them	Made big purchases and often but long time ago	< 2	4 - 5	4 - 5
Hibernating	Low spenders, low frequency and purchased long time ago	2 - 3	2 - 3	2 - 3
Lost	Lowest recency, frequency & monetary values	< 2	< 2	< 2

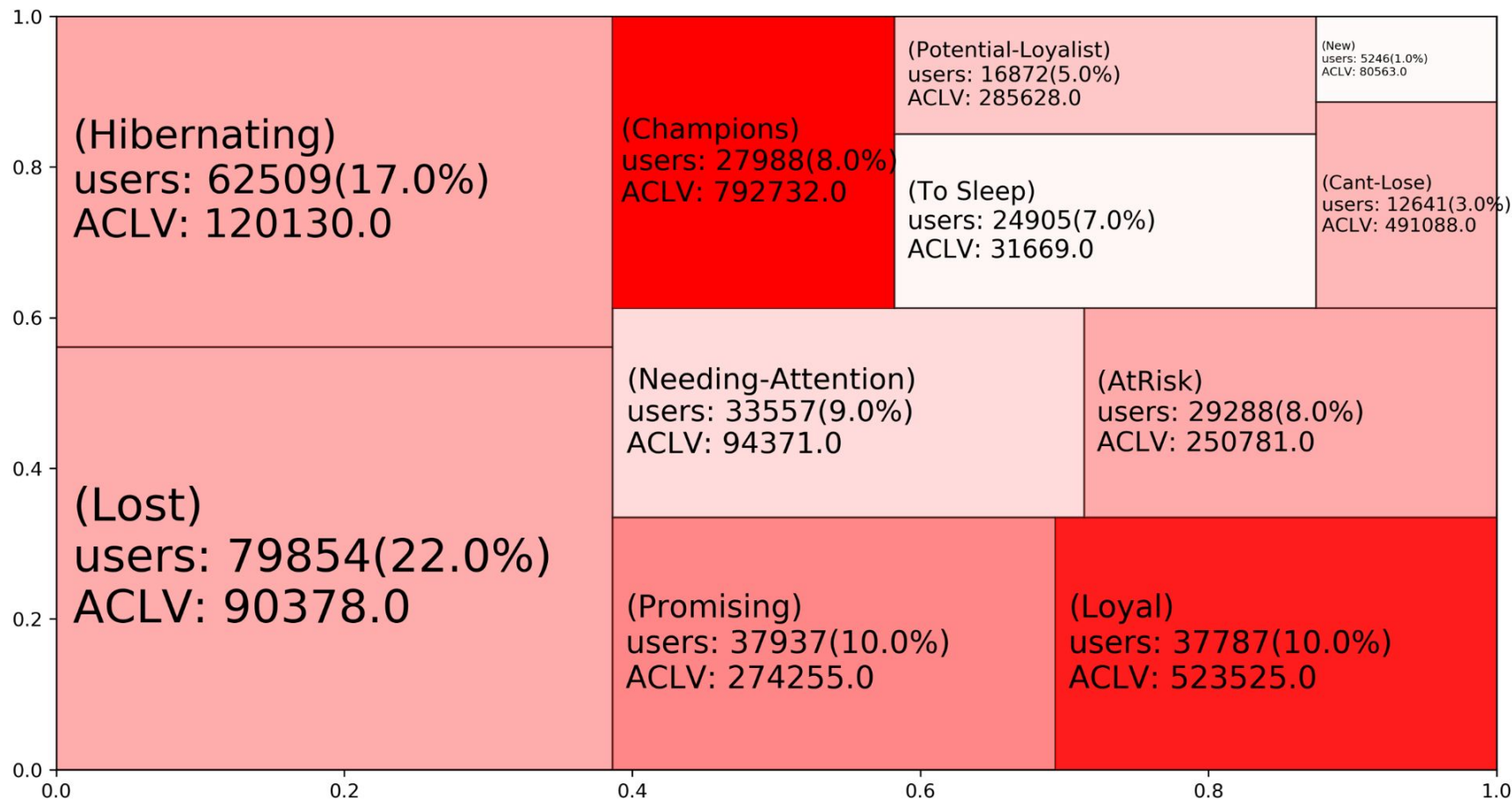
اقدامات متناسب	فعالیت	سگمنت مشتریان
به آنها پاداش دهید. آنها می‌توانند پذیرندگان آغازین برای محصولات یا فیچرهای جدید شما باشند. آنها معمولاً برند شما را به خوبی تبلیغ می‌کنند.	اخیراً خرید کرده‌اند، زیاد خرید می‌کنند و پول زیادی پرداخت می‌کنند.	قهرمانان Champions
محصولات گران را به آنها پیشنهاد دهید. از آنها بخواهید برای تان نظر بنویسند و آنها را بیشتر درگیر کنید.	معمولاً پول خوبی پرداخت می‌کنند و نسبت به پرموشن‌ها فعال هستند.	وفادار Loyal Customers
یک برنامه وفاداری ایجاد کنید. محصولاتی را که خرید نکرده‌اند پیشنهاد دهید.	مشتریان جدیدی که پول خوبی پرداخت کرده‌اند و بیشتر از یکبار هم خرید کرده‌اند.	وفادار محتمل Potential Loyalist
پیشتیبانی زنده داشته باشید. به آنها کمک کنید هر چه سریع‌تر در استفاده از سرویس موفق شوند. یک رابطه شخصی با آنها ایجاد کنید.	اخیراً خرید کرده‌اند ولی دفعات اول خریدشان بوده است.	جدید New
آگاهی از برندها را در آنها بالا ببرید. محصولات آزمایشی رایگان را به آنها پیشنهاد دهید.	خریداران اخیراً که پول زیادی پرداخت نکرده‌اند.	امیددهنده Promising
پیشنهادهای ویژه با زمان محدود ارائه دهید. توصیه‌هایی بر اساس خریدهای گذشته داشته باشید. آنها را دوباره فعال کنید.	فعالیت آنها تازگی، تعداد و حجم متوسطی دارد. ممکن است دیگری تصمیم به خرید نداشته باشند.	نیازمند توجه Customers Needing Attention
منابع باارزش را با آنها به اشتراک بگذارید. محصولات پرتقرردار را به آنها پیشنهاد دهید. برای تکرار خرید به آنها تخفیف بدهید.	فعالیت آنها تازگی، تعداد و حجم پایین‌تر از متوسط دارد. اگر فعال نشوند از دست می‌روند.	در حال خواب About To Sleep
ایمیل‌ها و پیام‌های اختصاصی برای‌شان بفرستید. برای تکرار خرید به آنها تخفیف بدهید. منابع کمکی به آنها ارائه بدهید.	پول زیادی پرداخت کرده و تعداد زیادی خرید کرده‌اند ولی مدت زیادی‌ست خریدی نداشته‌اند. از دست رفتن آنها خطر بیشتری دارد.	در خطر At Risk
با آنها حرف بزنید. اجازه ندهید سراغ رقبای تان بروند. جدیدترین محصولات را پیشنهاد دهید. تخفیفات ویژه برای تکرار خرید ارائه دهید.	بیشترین حجم و تعداد خرید را داشته‌اند ولی مدت زمان زیادی‌ست که خرید نکرده‌اند. از دست دادن آنها ضرر بزرگی‌ست.	غیرقابل چشم‌پوشی Can't Lose Them
تخفیف‌های ویژه یا محصولات مرتبط با خریدشان را پیشنهاد دهید. مزایا و دستاوردهای برندها را به آنها یادآوری کنید.	از آخرین خریدشان مدت زمان زیادی گذشته، تعداد کمی خرید کرده‌اند و حجم پول کمی پرداخت کرده‌اند.	خواب زمستانی Hibernating
علاقه آنها را به محصولات تان با کمپین‌های مختلف بسنجید. اگر علاقه‌ای نداشتند از آنها چشم‌پوشی کنید.	کمترین تعداد خرید و کمترین حجم خرید را داشته و مدت‌هاست خریدی نکرده‌اند.	از دست رفته Lost

۶۴ سگمنت مختلف مشتریان بر اساس خرید اشتراک



دسته‌بندی مشتریان بر اساس خرید اشتراک (پرداخت)

RFM Customer Segmentation



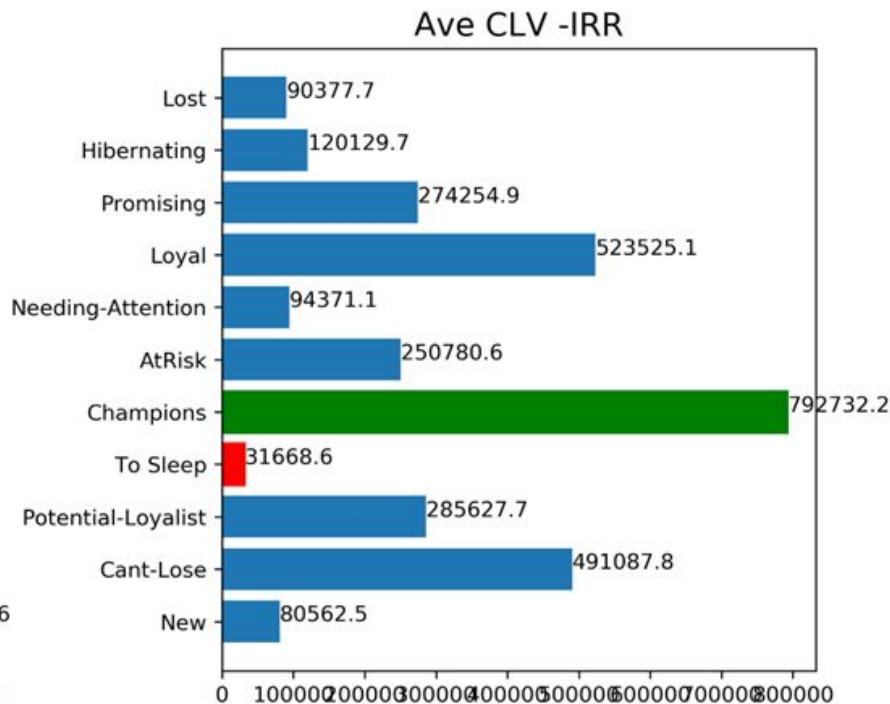
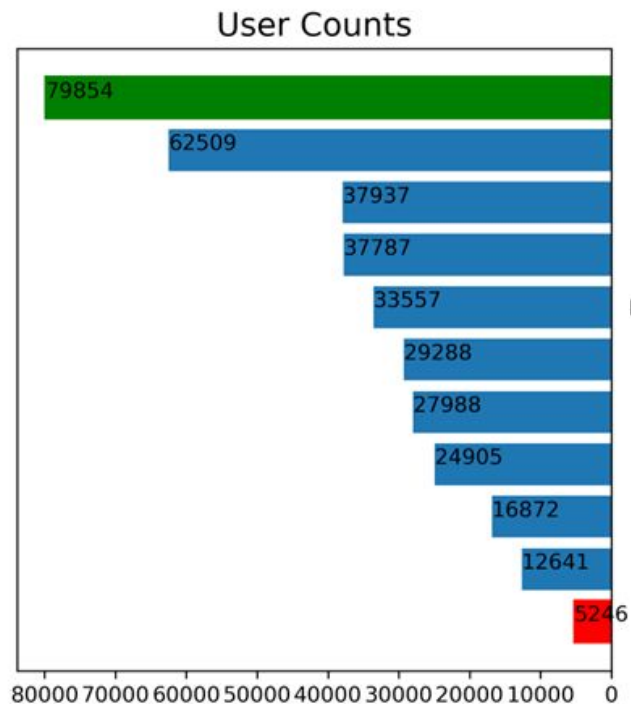
RFM Customer Segmentation

سرنوشت کاربران در ۳ ماه آخر به تفکیک سگمنت مشتری

Generated by Farazko.com

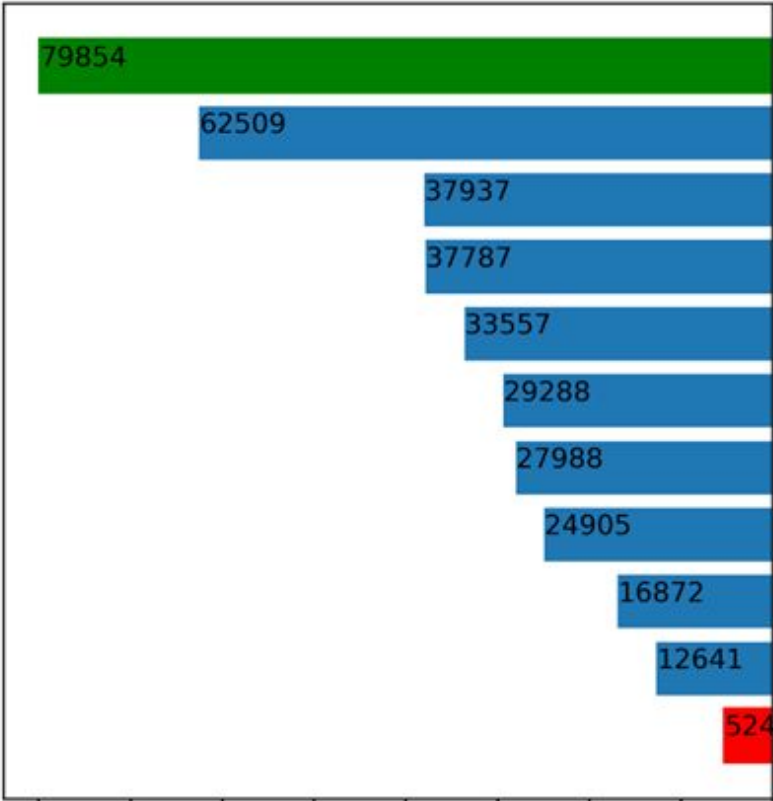
	To Sleep	Needing-Attention	Lost	Potential-Loyalist	Loyal	Promising	New	AtRisk	Cant-Lose	Hibernating	Champions
To Sleep	0	1339	0	691	767	465	0	164	0	14347	343
Needing-Attention	0	114	0	1231	1777	28	0	1045	1	13140	952
Lost	0	257	52376	522	586	36	0	831	1	39	183
Potential-Loyalist	0	0	0	384	1961	0	0	5651	814	874	1631
Loyal	0	245	0	1684	9834	712	0	4090	6681	79	6963
Promising	0	2025	0	1458	3277	7099	0	398	16	4961	1859
New	1822	934	0	614	824	496	254	14	0	3035	467
AtRisk	0	9	5347	447	756	0	0	13297	108	23	729
Cant-Lose	0	0	0	29	514	0	0	2857	2953	0	522
Hibernating	0	208	22131	1348	1411	31	0	835	0	16907	567
Champions	0	0	0	79	4873	0	0	95	2067	0	11161

ارزش طول عمر مشتریان (CLV) به تفکیک سگمنت مشتریان

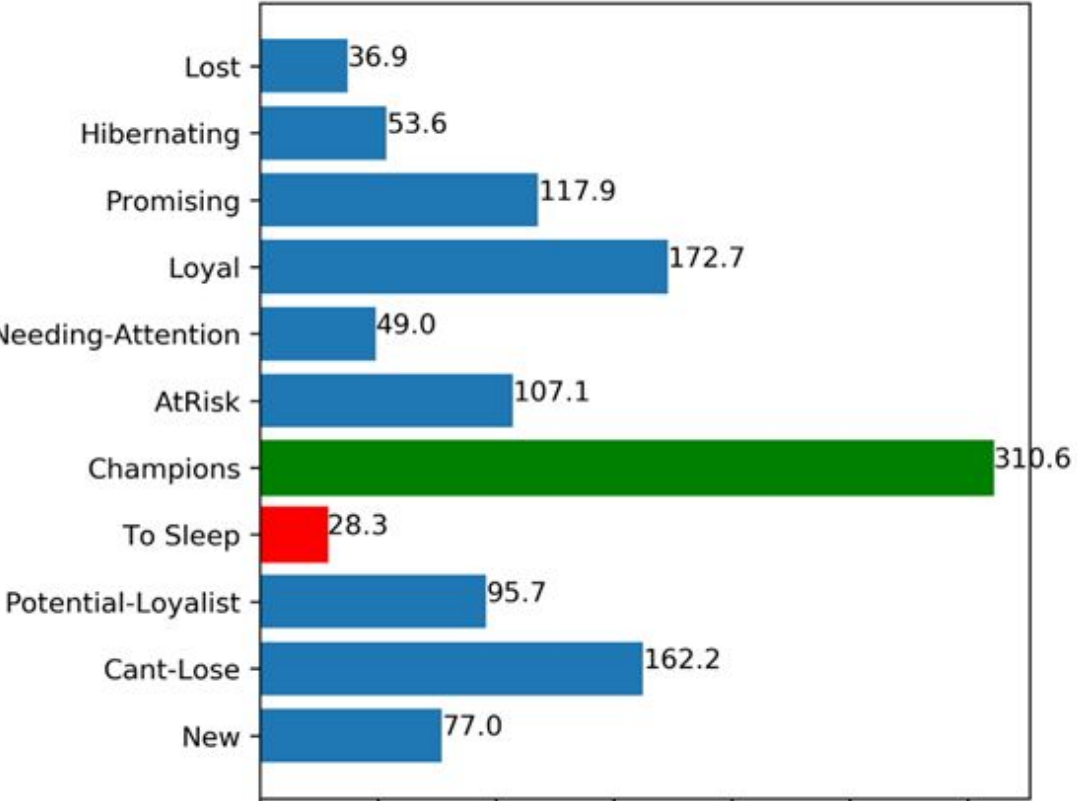


میانگین طول اشتراک به ازای هر مشترک (CLS)

User Counts



Average Duration



Cohort

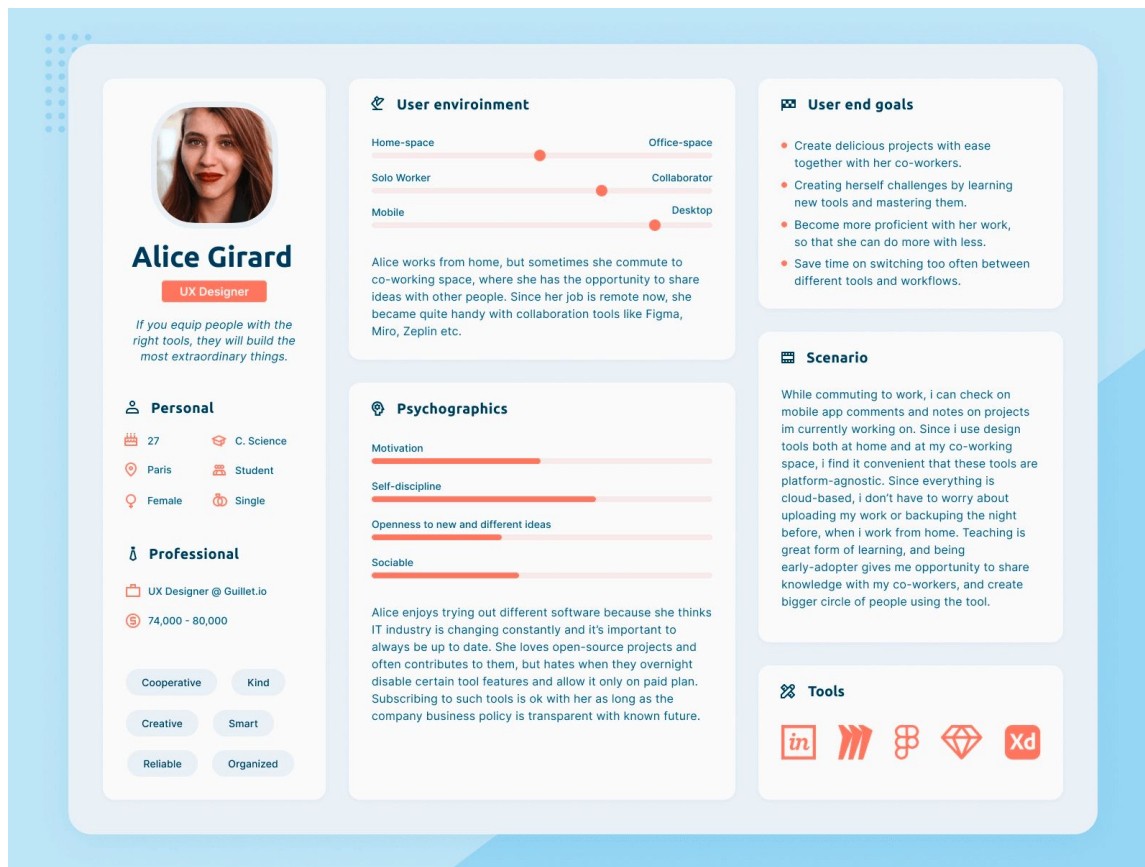
Cohort Analysis

نرخ تبدیل کوهورت‌های مختلف در چرخه عمر

Conversion rate in n'th month
for last-12 monthes

[illegible]

Persona





نام پرسونا:

۱

مریم فتوحی

بخش ۱ : چه کسی؟

پس زمینه

شغل؟ مسیر حرفه‌ای؟ خانواده؟

۲

- مدیر منابع انسانی
- به مدت ۱۰ سال در شرکت فعلی مشغول به کار بوده و کارش را از همانجا آغاز کرده است
- متاهل و دارای دو فرزند (۸ و ۱۰ ساله)

خصوصیات اولیه

جنسیت؟ سن؟ درآمد؟ محل زندگی؟

۳

- زن
- سن بین ۳۰ - ۴۵ سال
- درآمد ماهیانه حدود ۳ میلیون تومان
- ساکن منطقه متوسط در غرب تهران

شناسه‌ها

رفتار؟ ترجیحات ارتباطی؟ سبک زندگی؟

۴

- رفتار با وقار و متین
- به احتمال زیاد یک منشی دارد
- برای تعاملات کاری همیشه یک رسید یا سند چاپ شده می‌خواهد.



نام پرسونا:

مریم فتوحی

بخش ۲ : چه چیزی؟

اهداف

اهداف اولیه؟ اهداف ثانویه؟

۵

- افزایش رضایت شغلی کارکنان و کاهش ترک شغل توسط آنها
- پشتیبان سرسخت تیم‌های تجاری و مالی

چالش‌ها

چالش‌های اولیه؟ چالش‌های ثانویه؟

۶

- دستیابی به اهداف با استفاده از تعداد کم کارکنان
- تسری دادن تغییرات خوب به تمام سازمان

۷

ما چه کاری می‌توانیم انجام دهیم؟

تا پرسونا به اهدافش برسد؟
تا پرسونا به چالش‌هایش فائق آید؟

- تسهیل مدیریت اطلاعات تمام کارکنان در یک محل
- یکپارچه‌سازی با عملیات تیم‌های تجاری و مالی



نام پرسونا:

مریم فتوحی

بخش ۳ : چرا؟

نقل قول‌ها

درباره اهداف؟ چالش‌ها؟ ...

۸

- «در گذشته سازگاری کل سازمان با فناوری‌های جدید کار بسیار سختی بوده است»
- «من زمان کافی برای آموزش پلتفرم‌ها و پایگاه‌های داده متعدد را به کارکنان جدید ندارم»
- «من با مشکلات زیادی برای یکپارچه‌سازی اطلاعات با سایر سیستم‌ها و پایگاه‌داده‌های سازمان دست و پنجه نرم می‌کنم.»

اهداف مشترک

آنها چرا از سرویس/محصول شما استفاده خواهند کرد؟

۹

- «من نگران از دست دادن داده‌ها مهم هنگام انتقال آنها به سیستم جدید هستم»
- «من نمی‌خوام مجبور شوم به کل سازمان یاد بدهم که چگونه به سیستم جدید کار بکنند.»



نام پرسونا:

مریم فتوحی

بخش ۴ : چگونه؟

پیام‌های بازاریابی

شما باید چگونه راهکار خود را به پرسونا توصیف کنید؟

۱۰

○ مدیریت یکپارچه پایگاه داده نیروی انسانی

ارائه آسانسوری

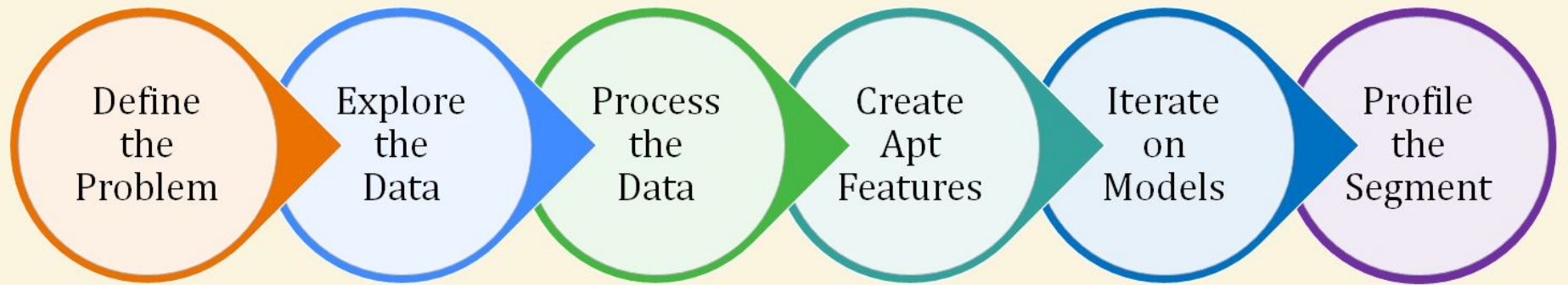
محصول خود را به پرسونا بفروش!

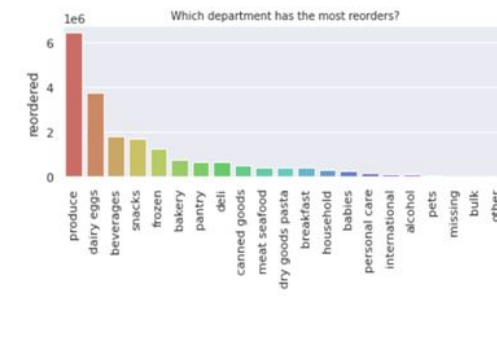
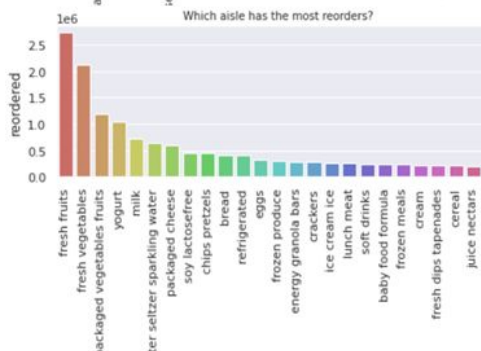
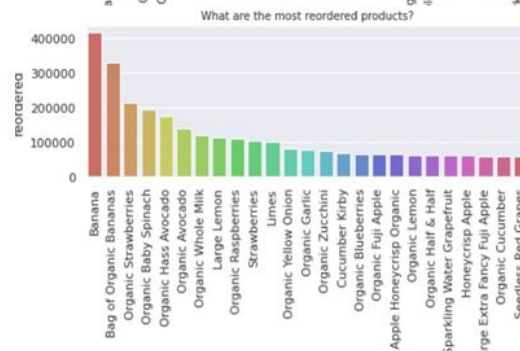
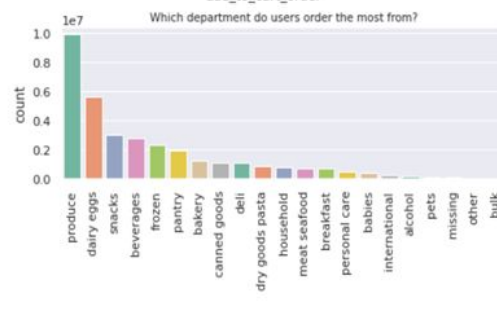
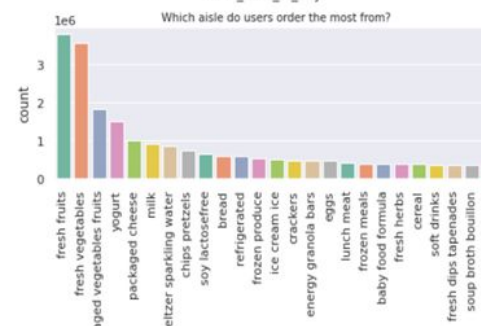
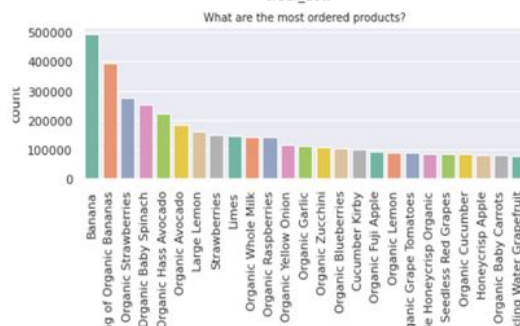
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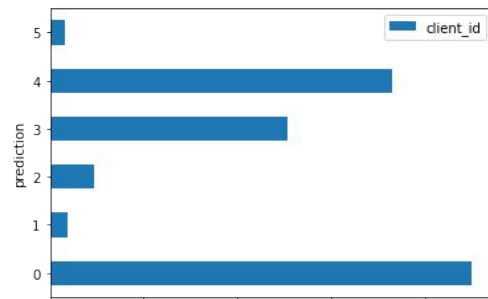
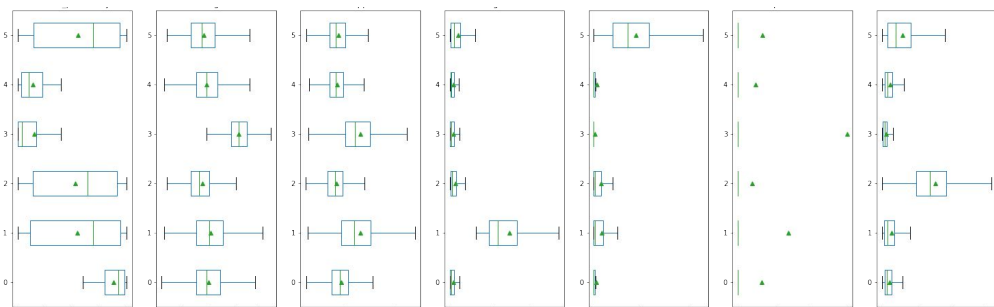
○ ما به شما یک پایگاه داده بصری خواهیم داد که به راحتی با سایر نرم‌افزارها و پلتفرم‌های موجود در سازمان شما یکپارچه می‌شود. همینطور پشتیبانی نامحدود برای آموزش کارکنان جدید به طوری که به سرعت با سیستم آشنا شده و با آن کار کنند.

Machine Learning Techniques for Customer Segmentation

- Machine learning techniques can automate the customer segmentation process and handle large datasets.
- Clustering algorithms, such as k-means, can group customers based on similar characteristics.
- Example: Using k-means clustering to segment customers based on behavior, preferences, or purchase history for targeted marketing campaigns.



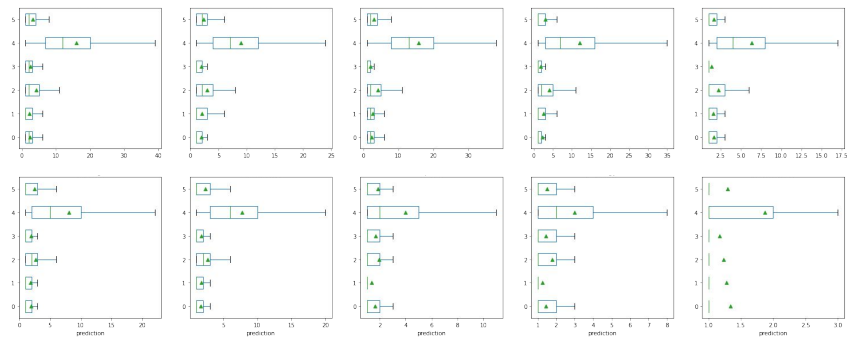




Boxplot grouped by prediction



Boxplot grouped by prediction

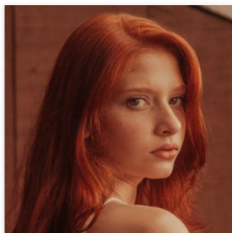


https://userpersona.dev/

Enter a short description of your product or service.

a classified ads for pet market

GENERATE NEW USER PERSONA



Samantha

Age/Gender
25/Female

Location
Los Angeles

Occupation
Dog Walker

Family Status
Single

Bio

Samantha is a 25-year-old dog walker living in Los Angeles. She is single and loves animals.

Motivations

Samantha is motivated by her love of animals and her need for a quick and easy way to buy and sell pet-related items.

Devices

Samantha uses an iPhone XR.

Goals

Samantha wants to find a place to buy and sell pet-related items in an easy and convenient way.

Pains

Samantha finds it difficult to find a reliable place to buy and sell pet-related items. She also finds it hard to find what she needs quickly.

Brand Affiliations

Petsmart, Petco, Chewy

Google Analytics for Customer Segmentation

- Google Analytics provides valuable insights and reports for analyzing and segmenting customer data.
- Key metrics like demographics, behavior, and conversion rates help understand customer segments better.

Example: Analyzing user behavior through Google Analytics to segment customers based on engagement levels, device usage, or traffic sources.



Build new segment

Create a custom segment

Select the type of segment you want to create



User segment

For example, users who have previously purchased a product.



Session segment

For example, all sessions originating from Campaign A.



Event segment

For example, all events that took place at a particular location.

Use a reference

Prebuilt audience suggestions for you to consider.

General

Templates

Predictive



Recently active users

Users that have been active in a recent period



Non-purchasers

Users that have not made a purchase



Purchasers

Users that have made a purchase



7-day inactive users

Users who were once active, but have not been active for the last 7 days.



7-day inactive purchasers

Purchasers who were once active, but have not been active for the last 7 days.

Build new segment

Create a custom segment

Select the type of segment you want to create



User segment

For example, users who have previously purchased a product.



Session segment

For example, all sessions originating from Campaign A.



Event segment

For example, all events that took place at a particular location.

Use a reference

Prebuilt audience suggestions for you to consider.

General

Templates



Predictive



Demographics

Segment your users by demographic information.



Technology

Segment your users by their web and mobile technologies.



Acquisition

Segment your users by acquisition method.

Build new segment

Create a custom segment

Select the type of segment you want to create



User segment

For example, users who have previously purchased a product.



Session segment

For example, all sessions originating from Campaign A.



Event segment

For example, all events that took place at a particular location.

Use a reference

Prebuilt audience suggestions for you to consider.

General

Templates



Predictive

Analytics builds predictive audiences based on behaviors such as buying or churning. [Learn more about predictive audiences](#)



Likely 7-day purchasers

Users who are likely to make a purchase in the next 7 days.

ELIGIBILITY STATUS

⚠ Not eligible to use ?



Likely 7-day churning users

Active users who are likely to not visit your property in the next 7 days.

ELIGIBILITY STATUS

⚠ Not eligible to use ?



Predicted 28-day top spenders

Users who are predicted to generate the most revenue in the next 28 days.

ELIGIBILITY STATUS

⚠ Not eligible to use ?



Likely first-time 7-day purchasers

Users who are likely to make their first purchase in the next 7 days.

ELIGIBILITY STATUS

⚠ Not eligible to use ?



Likely 7-day churning purchasers

Purchasing users who are likely to not visit your property in the next 7 days.

ELIGIBILITY STATUS

⚠ Not eligible to use ?

Variables

Exploration Name:
Segment overlap

Custom
May 18 - Jun 14, 2023

SEGMENTS

US

Direct traffic

Paid traffic

Mobile traffic

Tablet traffic

Age 25-54

segment 1

DIMENSIONS

Event name

Gender

Country

Device category

First user medium

METRICS

Active users

Event count

Transactions

Tab Settings

TECHNIQUE

Segment overlap

SEGMENT COMPARISONS

Mobile traffic

segment 1

Drop or select segment

BREAKDOWNS

Drop or select dimension

Start row

1

Show rows

10

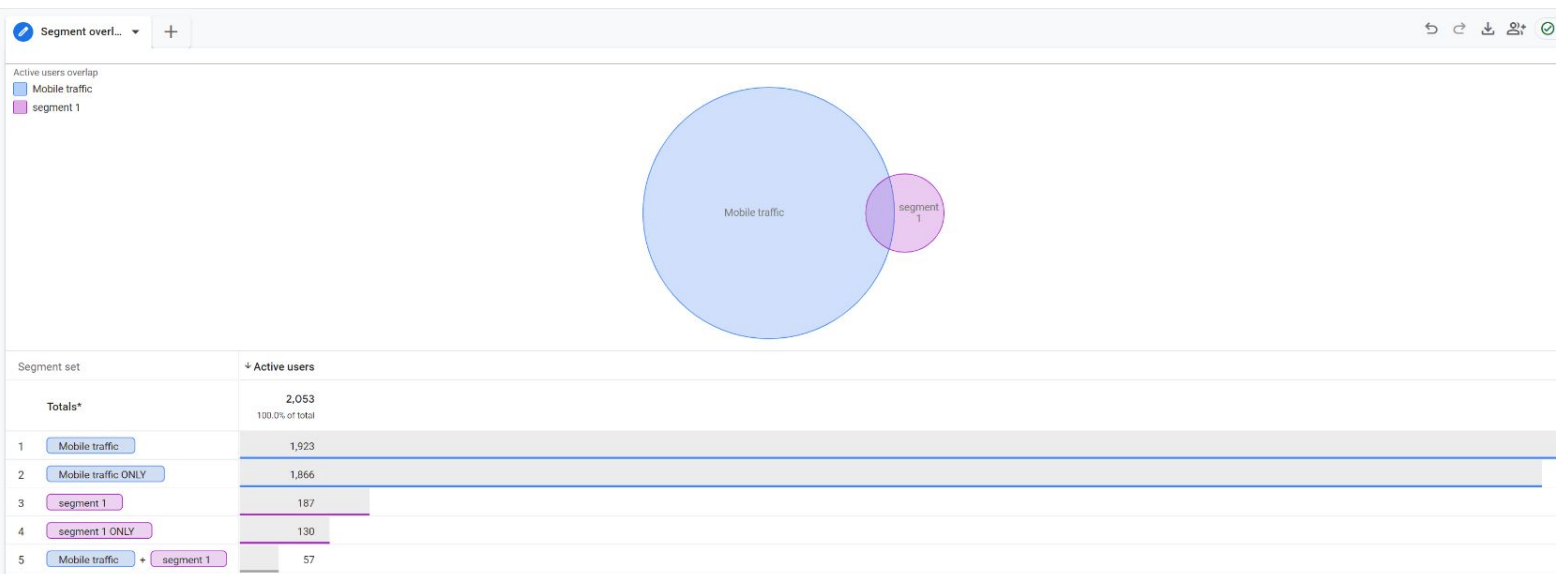
VALUES

Active users

Drop or select metric

FILTERS

Drop or select dimension or metric



Any Question?

Mahdi Nasseri
Linkedin: mahdinasseri

